



Finance (No. 2) Act 1964

1964 CHAPTER 92

An Act to grant certain duties, to alter other duties and to make further provision in connection with Finance.

[17th December 1964]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

INCOME TAX

1.—(1) Income tax for the year 1965-66 shall be charged at the standard rate of 8s. 3d. in the pound, and, in the case of an individual whose total income exceeds £2,000, at such higher rates in respect of the excess as Parliament may hereafter determine. Charge of income tax for 1965-66.

(2) Section 220(1) of the Income Tax Act 1952 (reduced rate relief), as amended by section 2(7) of the Finance Act 1955, section 19(2) of the Finance Act 1959 and section 12(5) of the Finance Act 1963, shall be amended, as respects the year of assessment 1965-66 and subsequent years of assessment, by the substitution for the words "seven shillings and ninepence" in each place where they occur of the words "eight shillings and threepence", and by the substitution for the words "3s. 9d." and "1s. 9d." of the words "4s. 3d." and "2s. 3d." 1952 c. 10.
1955 c. 15.
1959 c. 58.
1963 c. 25.

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CUSTOMS AND EXCISE

Hydrocarbon oils, etc.

Hydrocarbon oils, petrol substitutes and power methylated spirits.

2.—(1) There shall be charged on hydrocarbon oils imported into the United Kingdom a duty of customs at the rate of three shillings and threepence a gallon.

(2) A duty of excise at the same rate as the duty of customs charged under subsection (1) of this section shall be charged—

- (a) on hydrocarbon oils produced in the United Kingdom which, on or after 1st January 1965, are delivered for home use from a refinery or from other premises used for the production of hydrocarbon oils or from any bonded storage for hydrocarbon oils, and which are not chargeable with the customs duty on hydrocarbon oils;
- (b) on any petrol substitute which, on or after 1st January 1965, is sent out from the premises of a person producing or dealing in petrol substitutes and which was not acquired by him duty paid under this paragraph; and
- (c) on spirits used for making power methylated spirits (payable by the methylator immediately after the spirits have been so used).

1950 c. 15.

S.I. 1953/1496.

(3) The duties charged by subsections (1) and (2) of this section are instead of the duties of customs and excise specifically charged on hydrocarbon oils, petrol substitutes and spirits used for making power methylated spirits by any Act other than this Act, but this subsection shall not affect excise duty under section 2 of the Finance Act 1950 (hydrocarbon oils) or section 3 of that Act (petrol substitutes) becoming chargeable before 1st January 1965 (which by virtue of the said section 2, as amended by the Hydrocarbon Oils (Excise Duty) Order 1953, is at a rate 1s. 3d. per gallon less than the customs duty on hydrocarbon oils); and the reference in subsection (2)(b) of this section to duty paid under that paragraph includes duty paid under the said section 3 of the Finance Act 1950.

(4) This section shall have effect as from 6 o'clock in the evening on 11th November 1964.

Temporary charges on imports

Charge of temporary customs duty.

3.—(1) Subject to section 4 of this Act, there shall be charged on all goods imported into the United Kingdom a duty of customs which, subject to subsection (9) of this section, shall be fifteen per cent. of the value of the goods.

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(2) Duty under this section chargeable on any goods shall be chargeable in addition to any other duty of customs for the time being chargeable thereon and, notwithstanding the provisions of section 3(1) of the Import Duties Act 1958 or of any other provision contained in an Act other than this Act, the charge of duty under this section shall not affect liability to customs duty chargeable under any other enactment or the amount of any such duty. 1958 c. 6.

(3) Without prejudice to the last foregoing subsection, the definition of "revenue duty" in Article 2(4) of the Import Duties (General) (No. 3) Order 1961 (under which duty under the Import Duties Act 1958 is, in certain cases, only chargeable so far as the relevant rate of duty exceeds the revenue duty) shall not include duty under this section. S.I. 1961/403.

(4) The charge of duty under this section shall not affect liability to purchase tax under Group 35 in Part I of Schedule 1 to the Purchase Tax Act 1963 (which charges manufactured beverages but excludes those chargeable with any duty of customs specifically charged on spirits, beer, or wine and preparations thereof). 1963 c. 9.

(5) Section 259 of the Customs and Excise Act 1952 (duties in respect of dutiable parts or ingredients) shall not have effect in relation to duty under this section. 1952 c. 44.

(6) Duty under this section in respect of goods entered for warehousing shall become chargeable at the time when, under section 28(2) of the Customs and Excise Act 1952, the goods are so entered for warehousing; and, so far as relates to duty under this section—

(a) section 34(2)(a) of that Act (incidence of duty) shall apply to goods so entered for warehousing as if they were goods entered for home use, and to the exclusion of section 88 and section 34(2)(b) of that Act (under which the incidence of duty is in general determined as at the time of removal from warehouse), and

(b) section 196 of that Act (time of payment of duty on hydrocarbon oils removed to a refinery), and section 6(1)(2) of the Finance Act 1964 (delivery of hydrocarbon oils for home use without payment of duty), shall not apply. 1964 c. 49.

(7) Section 9 of the Finance Act 1961 (power to introduce surcharges or rebates in respect of customs and excise duties) shall not apply to duty under this section. 1961 c. 36.

(8) For the purposes of section 10 of the Finance Act 1901 (under which the burden of a new duty imposed on a seller under a contract made before the new duty takes effect may, in the absence of agreement to the contrary, be transferred to the 1901 c. 7.

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buyer) as it applies in relation to duty under this section, any terms in a contract expressly or impliedly making a seller liable for all customs duties (or all customs duties with exceptions not affecting duty under this section) shall not be deemed to amount to an agreement to the contrary (that is to say, to an agreement that the said section 10 shall not apply).

(9) The Treasury may from time to time by order reduce, or further reduce, the rate of duty of fifteen per cent. specified in subsection (1) of this section.

An order under this subsection—

- (a) may apply (subject always to section 4 of this Act) either generally or as respects goods of descriptions specified in the order, and
- (b) may provide that the duty shall cease to be in force, either generally or as respects goods of descriptions specified in the order, and
- (c) may vary or revoke a previous order under this subsection, but not so as to increase or reimpose duty on any goods, and
- (d) shall be made by statutory instrument subject to annulment in pursuance of a resolution of the House of Commons.

(10) Duty under this section shall be deemed to have come into force on 27th October 1964 and, in respect of goods so chargeable as from a date before the passing of this Act, shall become recoverable from the importer on the date of the passing of this Act.

(11) Subject to the next following subsection, duty under this section shall cease to be in force at the end of November 1965.

(12) The Treasury may by order in a statutory instrument, of which a draft has been approved by resolution of the House of Commons, direct that duty under this section shall continue in force until the end of November 1966.

Goods
exempted
from duty.

4.—(1) Duty under section 3 of this Act shall not be charged on goods of the descriptions specified in Schedule 1 to this Act (being goods classified in accordance with the Customs Tariff 1959).

(2) The Treasury may by order add to Schedule 1 to this Act any description of goods specified in the order.

(3) An order under subsection (2) of this section—

- (a) subject to subsection (4) of this section, may amend the provisions of Schedule 1 to this Act,

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(b) subject to subsection (4) of this section, may vary or revoke a previous order under the said subsection (2), and

(c) subject to subsection (5) of this section, shall be made by statutory instrument subject to annulment in pursuance of a resolution of the House of Commons.

(4) An order under subsection (2) of this section may exclude any description of goods specified in the order from Schedule 1 to this Act (so as to charge goods of that description with duty under section 3 of this Act) if and only if it appears to the Treasury that having regard to the descriptions of goods which, apart from the order, are so chargeable, the exemption withdrawn by the order is anomalous, and the order declares that it is made in pursuance of this subsection.

(5) An order made in pursuance of the last foregoing subsection shall not be subject to annulment as provided by subsection (3)(c) of this section but shall be laid before the House of Commons after being made; and the order shall cease to have effect at the end of twenty-eight days after that on which it is made (but without prejudice to anything previously done under the order or to the making of a new order) unless at some time before the end of those twenty-eight days the order is approved by resolution of the House of Commons.

In reckoning for the purposes of this subsection any period of twenty-eight days, no account shall be taken of any time during which Parliament is dissolved or prorogued or during which the House of Commons is adjourned for more than four days.

(6) Subject to subsection (3)(a) of this section, Schedule 1 to this Act shall be construed in accordance with the interpretative provisions at the end of that Schedule.

5.—(1) The Commissioners may allow drawback in respect of duty under section 3 of this Act on the exportation of goods in such circumstances and subject to such conditions as they may direct. Drawback

(2) The drawback may be in respect of duty paid on the goods, or in respect of duty paid on goods from which exported goods are manufactured or produced or which are incorporated in exported goods, and the rate of drawback may be determined in such manner and by reference to such matters as the Commissioners may determine.

(3) Where drawback is allowable on the exportation of the goods in respect of an ad valorem duty of customs not charged under section 3 of this Act the principles to be applied by the Commissioners in determining the drawback to be allowed under this section in respect of any duty under section 3 of this Act paid in respect of the goods shall be the same as the principles on which that other drawback is determined.

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(4) The rate of drawback under this section on the exportation of goods produced or manufactured from imported articles or materials charged with duty under section 3 of this Act—

(a) shall be fixed by reference either to the quantity of the imported articles or materials (or any goods produced or manufactured from those articles or materials) actually contained in the exported goods or to the quantity of the exported goods, and

(b) shall not be such as appears calculated on the average to result in the duty drawn back amounting to more than the duty paid.

(5) Except where the Commissioners, having regard to any special circumstances, otherwise determine, drawback shall not be allowed under this section if since duty under section 3 of this Act became chargeable on the imported articles or materials those articles or materials, or any goods produced or manufactured from them, have been used in the United Kingdom otherwise than by being incorporated in other goods or otherwise than by being used in the production or manufacture of other goods from them.

1952 c. 44. (6) The Commissioners may dispense with the requirements of section 267(2)(b) of the Customs and Excise Act 1952 (requiring a declaration by a claimant for a drawback) so far as relates to drawback under this section.

(7) Where the Commissioners are satisfied that it is intended to deal with any goods chargeable with duty under section 3 of this Act in such a manner that those goods, or goods produced or manufactured from them, will be eligible for drawback under this section, they may, instead of allowing the drawback, afford the like relief by remitting, subject to such conditions and restrictions as they may impose, all or any part of the duty so chargeable.

(8) Section 103(1) of the Customs and Excise Act 1952 (warehousing on drawback of British compounded spirits or spirits of wine) shall not apply to drawback of duty under section 3 of this Act unless the goods are warehoused under the said section 103 for exportation or for use as stores; and section 137 (beer duty drawback) and section 309(5) of that Act (removal of goods to the Isle of Man) shall not apply in relation to duty under section 3 of this Act.

(9) References in this section to goods produced or manufactured from any articles or materials shall be construed as including cases where the goods are produced or manufactured from those articles or materials, or wholly or partly from other articles or materials produced or manufactured from those articles or materials; and for the purposes of any such reference,

and of any reference in this section to goods incorporated in articles or materials, any packing, container or get-up of exported goods shall be treated as forming part of the goods.

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6.—(1) Schedule 2 to this Act (which authorises the giving of certain reliefs) shall apply for the purposes of this Act. Supplemental provisions.

(2) The Commissioners may by regulations in a statutory instrument provide that any of the provisions of the Customs and Excise Act 1952 shall, as they apply in relation to duty under section 3 of this Act, have effect subject to such exceptions or modifications as may be specified in the regulations, and the regulations may include such supplemental and incidental provisions as appear to the Commissioners to be expedient. 1952 c. 44.

Regulations under this subsection shall be subject to annulment in pursuance of a resolution of either House of Parliament.

Export rebates

7.—(1) The provisions of this section shall have effect for the purpose of affording relief in respect of duties of customs and excise chargeable on hydrocarbon oils, vehicle excise duty (including such duty chargeable in Northern Ireland) and purchase tax incurred in connection with the production, manufacture or carriage of goods exported from the United Kingdom on or after 26th October 1964. Payment of rebates.

(2) If on an application made at such time and in such manner as the Commissioners may by regulations prescribe it is shown to the satisfaction of the Commissioners—

- (a) that goods of any class or description were exported from the United Kingdom on or after the said date and within the period to which the application relates ; and
- (b) that those goods were produced or manufactured in the United Kingdom ; and
- (c) that those goods were so exported under, or for the purposes or in consequence of, a transaction for which the applicant is responsible ; and
- (d) that the applicant is a person ordinarily resident, or, in the case of a body corporate, incorporated, in the United Kingdom, or (not being such a person) has produced or manufactured those goods in the course of a trade or business carried on by him in the United Kingdom ;

the applicant shall be entitled, subject to the following provisions of this Act, to obtain from the Commissioners a rebate of the amount prescribed in relation to goods of that class or description by an order made by the Treasury for the purposes of this section ; and any such rebate shall be paid out of the sums

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(3) The amount so prescribed shall be expressed as a percentage of the export value of the goods determined in accordance with Schedule 3 to this Act.

(4) For the purposes of paragraph (a) of subsection (2) above the supply of goods to any ship or aircraft in the United Kingdom for use as stores, or the supply of goods for use in the United Kingdom for repairing or refitting any ship or aircraft, shall not be treated as the exportation of those goods notwithstanding that the ship or aircraft subsequently leaves the United Kingdom.

(5) The Treasury may by order make provision as to the cases in which goods are or are not to be treated for the purposes of paragraph (b) of subsection (2) above as produced or manufactured in the United Kingdom, and different provision may be made in relation to goods of different classes or descriptions.

(6) For the purposes of paragraph (c) of subsection (2) above goods shall be treated as exported under, or for the purposes or in consequence of, a transaction for which the applicant is responsible if, and only if,—

(a) either—

(i) the goods were exported under a contract of sale of the goods to a person not ordinarily resident, or, in the case of a body corporate, not incorporated, in the United Kingdom or to the government or any public authority of any country outside the United Kingdom, or were sold to such a person, government or authority before or after being exported ; or

(ii) the goods were exported under a contract for the hiring out of those goods for use outside the United Kingdom by such a person, government or authority for a period of not less than one year, or were so hired out before or after being exported ;

and the applicant is beneficially entitled to the price or rental accruing under the contract or, as the case may be, the sale or hiring in question ; or

(b) the goods were permanently exported for use outside the United Kingdom in a trade or business carried on by the applicant or any company directly or indirectly controlled by him and no application in respect of those goods can be made by virtue of paragraph (a) of this subsection.

(7) The payment of rebate on any application made by virtue of subsection (6)(a) above in respect of any ship or aircraft shall be subject to such conditions as the Treasury may by order

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prescribe; and no application shall be made by virtue of subsection (6)(b) above in respect of any ship or aircraft or any part thereof.

(8) An applicant shall not be eligible for a rebate by virtue of an application as respects any period unless—

(a) the export value of the goods to which the application relates (determined in accordance with Schedule 3 to this Act), or

(b) the export value of those goods, when taken with the export value of the goods (determined as aforesaid) to which any other applications made by that applicant in respect of other periods in the same year relate,

is not less than £2,000.

In this subsection references to a year are references to a year beginning with October and ending with the following September, and if regulations under subsection (2) of this section prescribe periods in respect of which applications are to be made which are periods any of which fall partly before and partly after the end of a year as so defined, the regulations may make such modifications of the foregoing provisions of this subsection as will enable those provisions to apply to whole periods.

(9) No application for rebate shall be made in respect of any goods by virtue of any such contract, sale, hiring or exportation for use as is mentioned in subsection (6) above if a rebate was payable in respect of those goods on an application made by virtue of any previous such contract, sale, hiring or exportation for use, or would have been so payable if such an application had been made, except that, where a rebate was or would have been payable on an application made by virtue of a previous hiring or contract of hire, the person who made or could have made that application may make a further application by virtue of any subsequent sale or hiring of those goods.

In determining for the purposes of this subsection whether a rebate was or would have been payable, subsection (8) above shall be disregarded.

(10) Any order under this section may be varied or revoked by a subsequent order and shall be made by statutory instrument subject to annulment in pursuance of a resolution of the House of Commons; and any regulations under this section shall be made by statutory instrument and shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(11) For the purposes of this section the time of exportation of any goods shall be deemed to be, where the goods are exported by sea or air, the time when the ship or aircraft carrying them leaves the port or airport where they were loaded for

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Advances and
repayments
of rebate.

8.—(1) If an applicant for rebate under the last foregoing section in respect of any goods satisfies the Commissioners—

- (a) that the conditions for the payment of the rebate mentioned in paragraphs (a), (b) and (d) of subsection (2) of that section are satisfied in respect of those goods; and
- (b) that there are reasonable grounds for believing that the condition mentioned in paragraph (c) of that subsection will, within a reasonable time, be satisfied on the sale or hiring out of those goods for any consideration;

the Commissioners may pay the rebate notwithstanding that that condition has not then been satisfied, but subject to such conditions as they think necessary for securing the repayment of the whole or any part of the rebate if the goods are not sold or hired out for that consideration within such time as they may determine.

(2) The Commissioners may, if they think fit, require any person to whom a rebate has been paid on an application under the last foregoing section to repay the whole or any part of that rebate, or may withhold the whole or any part of any rebate which would otherwise be payable to any person on such an application—

- (a) where the application was made by virtue of paragraph (a) of subsection (6) of that section, if the relevant contract of sale or hire is subsequently varied or discharged or the price or rental, or any part thereof, accruing under that contract or the sale or hiring in question is not subsequently received by the applicant in accordance with that contract, sale or hiring;
- (b) where the application was made by virtue of paragraph (a)(i) or (b) of that section, if the goods are subsequently re-imported into the United Kingdom by the applicant, by any person associated with him in business (within the meaning of paragraph 5 of Schedule 6 to the Customs and Excise Act 1952) or by any person acting in pursuance of any arrangement made with the applicant or any such person.

(3) It shall be the duty of any person to whom a rebate has been paid under the last foregoing section, or who has made an application for such a rebate, to inform the Commissioners of any event which would entitle them to require the repayment of,

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or to withhold, the whole or any part of that rebate by virtue of this section, and any person who fails to comply with this subsection shall be liable to a penalty of one hundred pounds; and in any proceedings by the Commissioners against any person under this section for the recovery of the whole or any part of any rebate paid to him it shall be for that person to prove that he is entitled to retain the sum sought to be recovered.

9.—(1) Any officer or person authorised by the Commissioners may require any person who has been concerned at any stage with goods in respect of which an application has been made under section 7 of this Act, or with any payment in respect of those goods, to furnish, within such time as that officer or person may require, such information as may be reasonably necessary to enable the Commissioners to determine whether any rebate is payable under that section or repayable under section 8 of this Act and the amount of any such rebate or repayment, and to produce any books or accounts or other document of whatever nature relating to those goods or to any payment in respect of those goods for inspection by that officer or person at such time and place as he may require.

Powers of
Commis-
sioners,
interpretation
&c.

(2) Any such officer or person shall be entitled to take extracts from or make copies of any document produced to him under the foregoing subsection.

(3) If any person fails to comply with any requirement under subsection (1) above he shall be liable to a penalty of one hundred pounds, together with a further penalty of ten pounds for each day during which failure to comply with the requirement continues.

(4) Any officer or person authorised by the Commissioners shall have the right, on production if so required of his authority, at all reasonable times to enter and inspect any premises used in connection with the production, manufacture, packing, storage or carriage of goods in respect of which an application has been made under section 7 of this Act for the purpose of ascertaining whether the conditions for the payment of rebate in respect of those goods are satisfied.

(5) Without prejudice to the application in relation to this and the two last foregoing sections, and to anything done under them, of those provisions of the Customs and Excise Act 1952 which apply in relation to the customs and excise Acts and assigned matters (as defined in that Act), the following provisions of that Act shall apply in relation to rebates under section 7 of this Act as they apply in relation to drawbacks, allowances or repayments under that Act, that is to say, section 270 (time limit on payment), section 271(1) (offences in connection with claims) and section 301(2) (recovery of overpayments).

1952 c. 44.

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1962 c. 13.

(6) Notwithstanding anything in section 5(4) of the Vehicles (Excise) Act 1962 (which requires duties levied under that Act to be paid into the Exchequer) or in any Order in Council under that section, the Treasury may give directions for the payment to the Commissioners, at such times and in such manner as the Treasury may determine, out of the duties so levied of such sums as the Treasury think fit having regard to the extent to which rebates under section 7 of this Act are designed to afford relief in respect of such duties; and any sums so paid shall be treated for the purposes of section 11 of the Customs and Excise Act 1952 (disposal of duties of customs and excise) as money received by the Commissioners on account of duties of customs and excise.

1952 c. 44.

(7) In the two last foregoing sections references to sale include references to barter and references to price shall be construed accordingly, references to rental are references to the consideration accruing in respect of the hiring out of any goods (whether or not payable periodically), and (except in subsections (1) to (5) of section 7) references to the United Kingdom include references to the Isle of Man.

1961 c. 36.

(8) For the avoidance of doubt it is hereby declared that references to rebate in section 9 of the Finance Act 1961 do not include references to rebate under section 7 of this Act.

PART III

GENERAL

Short title,
construction
and repeals.

10.—(1) This Act may be cited as the Finance (No. 2) Act 1964.

1963 c. 9.

(2) Part I of this Act shall be construed as one with the Income Tax Acts and Part II of this Act shall be construed as one with the Customs and Excise Act 1952; and nothing in Part II of this Act shall be construed as applying to purchase tax by virtue of section 25(1) of the Purchase Tax Act 1963 (which applies for purchase tax purposes enactments relating to customs generally).

(3) Any reference in this Act to any other enactment shall, except so far as the context otherwise requires, be construed as a reference to that enactment as amended or applied by or under any other enactment, including this Act.

(4) The enactments mentioned in Schedule 4 to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

SCHEDULES

SCHEDULE 1

Section 4.

EXEMPTED GOODS

Description of goods (employing the Customs Tariff 1959)	Title of tariff chapter, or summary of tariff heading
Chapter 1 (all headings)	Live animals.
Chapter 2 (all headings)	Meat and edible meat offals.
Chapter 3 (all headings)	Fish, crustaceans and molluscs.
Chapter 4 (all headings)	Dairy produce; birds' eggs; natural honey.
Chapter 5 (all headings)	Products of animal origin, not elsewhere specified or included.
Chapter 7 (all headings)	Edible vegetables and certain roots and tubers.
Chapter 8 (all headings)	Edible fruit and nuts; peel of melons or citrus fruit.
Chapter 9 (all headings)	Coffee, tea, maté and spices.
Chapter 10 (all headings)	Cereals.
Chapter 11 (all headings)	Products of the milling industry; malt and starches; gluten; inulin.
Chapter 12 (all headings)	Oil seeds and oleaginous fruit; miscellaneous grains, seeds and fruit; industrial and medical plants; straw and fodder.
Chapter 13 (all headings)	Raw vegetable materials of a kind suitable for use in dyeing or in tanning; lacs; gums, resins and other vegetable saps and extracts.
Chapter 14 (all headings)	Vegetable plaiting and carving materials; vegetable products not elsewhere specified or included.
Chapter 15 (all headings)	Animal and vegetable fats and oils and their cleavage products; prepared edible fats; animal and vegetable waxes.
Chapter 16 (all headings)	Preparations of meat, of fish, of crustaceans or molluscs.
Chapter 17 (all headings)	Sugars and sugar confectionery.
Chapter 18 (all headings)	Cocoa and cocoa preparations.
Chapter 19 (all headings)	Preparations of cereals, flour or starch; pastrycooks' products.
Chapter 20 (all headings)	Preparations of vegetables, fruit or other parts of plants.
Chapter 21 (all headings)	Miscellaneous edible preparations.
22.10	Vinegar and substitutes for vinegar.
Chapter 23 (all headings)	Residues and waste from the food industries; prepared animal fodder.
24.01	Unmanufactured tobacco.
Chapter 25 (all headings)	Salt; sulphur; earths and stone; plastering materials, lime and cement.
Chapter 26 (all headings)	Metallic ores, slag and ash.

SCH. 1	Description of goods (employing the Customs Tariff 1959)	Title of tariff chapter, or summary of tariff heading
	Chapter 27 (all headings)	Mineral fuels, mineral oils and products of their distillation; bituminous substances; mineral waxes.
	Bromine and iodine within 28.01.	
	Silicon, selenium and tellurium within 28.04.	
	Mercury within 28.05 ...	
	Arsenic trioxide within 28.11.	
	Methane within 29.01.	
	31.01	Guano.
	Natural sodium nitrate within 31.02.	
	Basic slag within 31.03.	
	All goods within 31.04 except potassium chloride (analytical reagent quality).	Mineral or chemical fertilisers, potassic.
	Fertilisers within 31.05 consisting of natural potassium nitrate together with natural sodium nitrate.	
	32.01	Tanning extracts of vegetable origin.
	32.04	Colouring matter of vegetable origin or animal origin.
	33.01	Essential oils (terpeneless or not); concretes and absolutes; resinoids.
	All goods within 35.01 except casein glues.	Casein, caseinates and other casein derivatives.
	35.02	Albumins, albuminates and other albumin derivatives.
	Edible gelatin within 35.03.	Exposed film and plates.
	37.04, 37.05, 37.06 and 37.07.	
	Flux calcined diatomite within 38.03.	
	38.05	Tall oil.
	38.06	Concentrated sulphite-lye.
	38.07	Spirits of turpentine and other terpenic solvents; crude dipentene; sulphite turpentine; pine oil.
	38.08	Rosin and resin acids and derivatives; rosin spirit and rosin oils.
	Calcined bauxite within 38.19.	
	40.01	Natural rubber.
	40.03 and 40.04	Reclaimed and waste rubber.
	41.01	Raw hides and skins.

Description of goods (employing the Customs Tariff 1959)	Title of tariff chapter, or summary of tariff heading	SCH. 1
Leather within 41.02, 41.03, 41.04 and 41.05, other than dressed leather.		
41.09 	Leather parings and waste.	
43.01 	Raw furskins.	
44.01 to 44.12 	Wood, not planed or further manu- factured.	
45.01 and 45.02 	Natural cork and waste cork.	
47.01 and 47.02 	Paper-making materials (pulp and waste paper).	
49.01 to 49.07 	Books, newspapers, maps, charts, manuscripts, typescripts, stamps, etc.	
Trade advertising material within 49.09 and 49.10, being material the primary purpose of which is to stimulate travel outside the United Kingdom.		
Trade advertising material within 49.11, being pub- lications, illustrated or not, the primary purpose of which is to stimulate study or travel outside the United Kingdom, or to advertise exhibi- tions held outside the United Kingdom.		
Printed matter within 49.11, being— parts of books or booklets in the form of printed pictures or illustrations not bearing a text, or printed documents, printed diagrams and printed archi- tectural, engineering and similar indus- trial designs or plans, not being trade advertising material.		
Photographic prints within 49.11 imported in a packet not exceeding 8 ounces in gross weight which does not form part of a larger consignment		

SCH. 1	Description of goods (employing the Customs Tariff 1959)	Title of tariff chapter, or summary of tariff heading
50.01, 50.02 and 50.03	...	Silk worm cocoons, raw silk and silk waste.
53.01		Sheep's or lamb's wool, not carded or combed.
53.02		Other animal hair, not carded or combed.
53.03 and 53.04		Waste of sheep's or lamb's wool or of other animal hair.
53.05		Sheep's or lamb's wool, or other animal hair, carded or combed.
54.01 and 54.02		Unspun flax and ramie.
55.01, 55.02, 55.03 and 55.04	...	Raw cotton, linters and waste ; cotton, carded or combed.
57.01, 57.02, 57.03 and 57.04	...	Unspun hemp, jute and other vegetable textile fibres.
Chapter 63 (all headings)	...	Old clothing and other textile articles ; rags.
71.01 to 71.10		Pearls, synthetic and natural, precious and semi-precious stones and precious metals not fully manufactured.
71.11		Waste and scrap of precious metals.
Chapter 72		Coin.
73.01		Pig iron, cast iron and spiegeleisen, in pigs, blocks, lumps and similar forms.
73.02		Ferro-alloys.
73.03, 73.04 and 73.05	...	Iron and steel waste, scrap, shot, grit and powder.
74.01 and 74.02		Copper matte ; unwrought copper ; copper waste and scrap ; master alloys.
75.01		Nickel mattes ; unwrought nickel ; nickel waste and scrap.
Unwrought nickel electro- plating anodes within 75.05.	...	
76.01		Unwrought aluminium and waste and scrap.
77.01		Unwrought magnesium and waste and scrap.
Waste and scrap beryllium within 77.04 and un- wrought beryllium within 77.04.	...	
78.01		Unwrought lead ; lead waste and scrap.
79.01		Unwrought zinc ; zinc waste and scrap.
80.01		Unwrought tin ; tin waste and scrap.
Chapter 81 (all headings)	...	Certain base metals employed in metallurgy and articles thereof.

Description of goods (employing the Customs Tariff 1959)	Title of tariff chapter, or summary of tariff heading	SCH. 1
Aircraft within 88.02 of a maximum total weight exceeding 18,000 lbs. (maximum total weight to be that authorised in the certificate of airworthiness in force in respect of the aircraft or, if there is no such certificate in force, ascertained in such manner as the Commissioners may direct).		
Ships and other descriptions of goods within 89.01, 89.02 and 89.03, if of a gross tonnage of 80 tons or more (ascertained in accordance with the Merchant Shipping Acts or, if not ships with a gross tonnage under those Acts, ascertained in such manner as the Commissioners may direct).		
Fishing vessels within 89.01 of the kind commonly known as Danish-type seiners with a fuel carrying capacity of not less than 500 gallons.		
89.04 	Vessels for breaking up.	
Sound recordings not produced in quantity and not for general sale, within 92.12.		
Chapter 99 (all headings)	Works of art, collectors' pieces and antiques.	

1. References in this Schedule to the provisions of the Customs Tariff 1959 are references to those provisions as for the time being in force.

2. The titles of chapters of the Customs Tariff 1959 and summaries of headings of the tariff in column 2 of this Schedule are provided for ease of reference only, and do not affect the descriptions in column 1 of this Schedule.

Section 6.

SCHEDULE 2

RELIEF FROM TEMPORARY CUSTOMS DUTY

Goods used in shipbuilding, repairing or refitting

1.—(1) The Commissioners may remit or repay duty—

- (a) in respect of goods taken into a registered shipbuilding yard (whether or not on direct consignment from outside the United Kingdom) if satisfied that it is intended to use them in the yard as components, parts, preservatives or finishes of any ship being built, repaired or refitted in the yard, or of any such ship's equipment or machinery, and
- (b) in respect of goods of descriptions for the time being prescribed for the purposes of section 5(3) of the Import Duties Act 1958 (relief for goods used in the construction and repair of boilers or propelling machinery of ships, and of accessories of such boilers and machinery) if satisfied that it is intended to use them (outside a registered shipbuilding yard) as components, parts, preservatives or finishes of the boilers or propelling machinery of ships, or of the accessories of such boilers and machinery,

1958 c. 6.

but subject (in cases under both paragraph (a) and paragraph (b)) to such conditions and restrictions as the Commissioners may think fit to impose for the purpose of securing that duty is paid if the goods are used in a way not qualifying for remission or repayment of duty under this paragraph.

(2) Except where the Commissioners, having regard to any special circumstances, otherwise determine, duty shall not be remitted or repaid under this paragraph in respect of any goods which, before being used in a way otherwise qualifying for remission or repayment of duty under this paragraph, were used in some other way.

(3) Sub-paragraph (1)(a) of this paragraph shall not apply in relation to any ship of a description which is not for the time being included in Schedule 1 to this Act, and if the boilers or propelling machinery, or accessories thereof, in which goods qualifying for remission or repayment of duty under sub-paragraph (1)(b) of this paragraph have been used as components or parts are used in a ship of a description which is not for the time being included in Schedule 1 to this Act, duty remitted or repaid in respect of those goods under this paragraph shall again become payable.

(4) In this paragraph "registered shipbuilding yard" has the meaning assigned to it by section 5(5) of the Import Duties Act 1958.

Goods used in building, repairing or servicing aircraft or for tests or experiments

2.—(1) The Commissioners may remit or repay duty in respect of goods—

- (a) if satisfied that it is intended to use them as components or parts of any aircraft of a maximum total weight exceeding 18,000 pounds in the course of building, repairing, refitting, maintaining or servicing the aircraft ; or

SCH. 2

- (b) if and so far as the relief appears to the Commissioners to be necessary or expedient with a view to conforming with an international agreement relating to the importation of materials, parts or components to be subjected to tests or experiments in the course of designing or developing a type of aircraft of a maximum total weight exceeding 18,000 pounds,

but subject to such conditions and restrictions as the Commissioners may think fit to impose for the purpose of securing that duty is paid if the goods are used in a way not qualifying for remission or repayment of duty under this paragraph.

(2) A maximum total weight for the purposes of this paragraph is that authorised in the certificate of airworthiness in force in respect of the aircraft or, if there is no such certificate in force, is that ascertained in such manner as the Commissioners may direct.

Goods exported or intended for export

3.—(1) So far as relates to duty under section 3 of this Act, section 38 of the Customs and Excise Act 1952 (under which 1952 c. 44. imported goods may be warehoused without payment of duty) shall not apply to goods entered for warehousing unless the Commissioners are satisfied that the goods—

- (a) are being warehoused for the purpose of exportation or use as stores, or use in a way qualifying for remission or repayment of duty under paragraph 1 or paragraph 2 of this Schedule; or
- (b) are goods which are being warehoused in the course of a trade or business in which the major part of the goods of the kind in question which are imported in the course of the trade or business are re-exported.

(2) Goods warehoused without payment of duty under paragraph (a) of the foregoing sub-paragraph shall not be removed from warehouse, or otherwise removed from the control of the Commissioners, for any purpose, other than a purpose for which they may be warehoused without payment of duty, except with the permission of the Commissioners given on being satisfied that it is impracticable to use the goods for any purpose for which goods may be warehoused under this paragraph without payment of duty, and except after the duty chargeable has been paid or secured to the satisfaction of the Commissioners.

(3) Goods warehoused without payment of duty under sub-paragraph (1)(b) of this paragraph shall not be removed from warehouse, or otherwise removed from the control of the Commissioners, for home use except after the duty chargeable has been paid or secured to the satisfaction of the Commissioners.

4.—(1) Duty shall not under section 3(10) of this Act be payable in respect of goods shown to the satisfaction of the Commissioners to have been consigned for exportation or for use as stores before the date of the passing of this Act if security is given to the satisfaction of the Commissioners for their exportation or for use as stores, and the Commissioners may remit duty becoming chargeable by virtue

SCH. 2

of the said section 3(10) before the date of the passing of this Act in respect of goods entered for transit or transhipment or in respect of warehoused goods as respects which the Commissioners are satisfied that they are intended for exportation, or for use as stores, or for use in a way qualifying for remission or repayment of duty under paragraph 1 or paragraph 2 of this Schedule.

(2) Paragraph 3(2) of this Schedule shall apply in relation to warehoused goods in respect of which duty is remitted under the foregoing sub-paragraph as it applies to goods warehoused without payment of duty in accordance with paragraph 3(1) of this Schedule.

Reduction of duty on goods re-imported after processing

5.—(1) Where there are imported into the United Kingdom any goods which—

- (a) have been previously exported from the United Kingdom (whether produced there or not), and
- (b) after being so exported have undergone outside the United Kingdom a process which has not changed their form or character, and
- (c) if they had not undergone that process, would on their importation have been exempted from duty by virtue of section 35 or section 36 of the Customs and Excise Act 1952 (goods re-imported without undergoing any process),

1952 c. 44.

then, subject to the provisions of this paragraph, any duty which apart from this paragraph would be chargeable on their importation shall be reduced by the amount specified in the next following sub-paragraph or, if equal to or less than that amount, shall not be charged.

(2) Subject to the next following sub-paragraph, the amount referred to above is, in the case of any goods, the amount of the duty chargeable (apart from any relief under the said section 35 or section 36 or under this paragraph) on the importation of the like goods which are in the same state as the goods in question were in when exported from the United Kingdom.

(3) For the purposes of this paragraph, any sum contracted to be paid for the execution of a process on any goods shall be prima facie evidence of the difference attributable to that process between the value of the goods and the value of the like goods referred to in sub-paragraph (2) above; but this provision shall be without prejudice to the powers of the Commissioners under any enactment as to the ascertainment of the value of goods.

(4) For the purpose of determining whether any goods would have been exempted from duty as mentioned in sub-paragraph (1)(c) above under section 36 of the Customs and Excise Act 1952 duty chargeable on them on a previous importation into the United Kingdom but not required to be paid shall be deemed not to have been chargeable.

Articles for scientific research, etc.

6.—(1) Articles intended to be used in scientific research, or for a purpose connected with the advancement of any branch of learning or art or with the promotion of any sport, and not intended

to be sold, or to be used for any purpose which is substantially a commercial purpose, shall qualify for relief from duty under section 3 of this Act in accordance with this paragraph. SCH. 2

(2) In relation to articles of the description in sub-paragraph (1) above (which is the same as the description in paragraph 3 of Schedule 4 to the Import Duties Act 1958 (goods qualifying for 1958 c. 6. exemption under Treasury directions)) section 6 of that Act (power to exempt particular importations of certain goods) shall have effect as if any reference to any import duty (that is any duty under section 1 of that Act) included a reference to duty under section 3 of this Act.

Goods specially designed for the education, scientific or cultural advancement of the blind

7.—(1) The Import Duty Reliefs (No. 4) Order 1958 (goods S.I. 1958/1976. specially designed for the education, scientific or cultural advancement of the blind) shall apply in relation to duty under section 3 of this Act as it applies in relation to duty under section 1 of the Import Duties Act 1958.

(2) References in section 10 of the Import Duties Act 1958 (offences in connection with applications for relief) to relief under section 5 of that Act, or subsection (1) of that section, shall include references to relief given by virtue of this paragraph.

Diplomatic privileges

8. For the purpose of giving effect to any exemption from duty conferred by the Diplomatic Privileges Act 1964, or by any other 1964 c. 81. enactment, or provision having effect under an enactment, which is framed by reference to diplomatic privileges of the kind specified in the said Act of 1964, the Commissioners may, subject to such conditions and restrictions as they may impose,—

- (a) allow goods to be warehoused or delivered or removed on importation without payment of duty, and
- (b) where duty has been paid in respect of warehoused goods, repay the duty on delivery of the goods from warehouse to the person entitled to the exemption.

Spirits used in manufacture or for medical or scientific purposes

9. Where under section 111, 112 or 122 of the Customs and 1952 c. 44. Excise Act 1952 duty on imported spirits charged under section 1 of the Finance Act 1964 is remitted or repaid or reduced, duty under 1964 c. 49. section 3 of this Act on those spirits shall be repaid or remitted.

Interpretation

10. Except where the context otherwise requires, references in this Schedule to duty are references to duty under section 3 of this Act.

Section 7.

SCHEDULE 3

EXPORT REBATES: PROVISIONS FOR DETERMINING EXPORT VALUE

Preliminary

1.—(1) The provisions of this Schedule shall have effect for determining the export value of any goods in respect of which an application is made under section 7 of this Act ; and in this Schedule “the relevant transaction” means the transaction by virtue of which the application is so made.

(2) Except where the relevant transaction is the exportation of goods for use outside the United Kingdom in a trade or business carried on by the applicant or by any company directly or indirectly controlled by him, the export value of the goods shall be taken to be the relevant consideration for the goods determined in accordance with paragraph 2 or 3 of this Schedule, except that, if it appears to the Commissioners that the relevant consideration as so determined is greater than the value of the goods determined in accordance with paragraphs 4 to 6 of this Schedule and the Commissioners so decide, the export value shall be taken to be the value of the goods determined in accordance with those paragraphs.

The making by the Commissioners of a payment the amount of which is fixed on the footing that the export value of the goods is to be determined by reference to paragraph 2 or 3 or, as the case may be, paragraphs 4 to 6 of this Schedule shall not be taken as constituting the making of a final decision by the Commissioners under this sub-paragraph.

(3) Where the relevant transaction is the exportation of goods for use outside the United Kingdom in a trade or business carried on by the applicant or by any company directly or indirectly controlled by him, the export value of the goods shall be taken to be the value of the goods, determined in accordance with paragraphs 4 and 5 of this Schedule.

Relevant consideration : sale

2.—(1) Where the relevant transaction is the exportation of goods under a contract of sale or the sale of the goods before or after exportation, the relevant consideration shall, subject to this paragraph, be the price under that contract or sale.

(2) If the terms of the sale or contract of sale are such that the seller bears any of the following, that is, any freight, insurance or other costs, charges or expenses incurred in respect of the goods after they leave the port or place of export, the price shall be reduced for the purposes of this paragraph by an amount reflecting the burden thus assumed by the seller.

In this sub-paragraph the reference to costs, charges or expenses incurred in respect of the goods after they leave the port or place of export does not include, where the goods are sold after being exported, any expenses relating to the sale.

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(3) If the whole or any part of the purchase price is payable twelve months or more after the time when the property in the goods passes, the price shall be reduced for the purposes of this paragraph by an amount representing the discount which would be chargeable for obtaining payment at that earlier time at a rate of interest equal to the bank rate then prevailing.

Relevant consideration : hiring

3.—(1) Where the relevant transaction is the exportation of goods under a contract for the hiring out of those goods, or the hiring out of the goods before or after exportation, the relevant consideration shall, subject to this paragraph, be the aggregate of the rental payable under that contract or hiring.

(2) If the terms of the hiring or contract of hiring are such that the person from whom the goods are hired bears any of the following, that is, any freight, insurance or other costs, charges or expenses incurred in respect of the goods after they leave the port or place of export, the aggregate of the rental shall be reduced for the purposes of this paragraph by an amount reflecting the burden thus assumed by that person.

In this sub-paragraph, the reference to costs, charges or expenses incurred in respect of the goods after they leave the port or place of export does not include, where the goods are hired out after being exported, any expenses relating to the hiring out.

(3) Any instalment of rental payable twelve months or more after the time when possession of the goods passes shall be reduced for the purposes of sub-paragraph (1) of this paragraph by an amount representing the discount which would be chargeable for obtaining payment at that earlier time at a rate of interest equal to the bank rate then prevailing.

(4) Where goods are hired out for an indefinite period the relevant consideration shall be the rental received by the applicant subject to any reduction to be made under sub-paragraph (2) of this paragraph, and payments on account of rebate in respect of such rental may be made from time to time as the rental is received.

Determination of value

4.—(1) Subject to the following provisions of this Schedule, the value of the goods shall be taken to be the price which they would fetch at the time of export on a sale in the open market between buyer and seller independent of each other.

(2) For the purposes of this paragraph, the price shall be determined on the assumption that the buyer will bear freight, insurance and all other costs, charges and expenses incurred in respect of the goods after they leave the port or place of export.

(3) Where the relevant transaction is the exportation of goods which are sold after being exported—

- (a) the date as at which the goods are to be valued under sub-paragraph (1) of this paragraph shall be the date when they are sold as part of the relevant transaction, and

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- (b) costs, charges and expenses relating to the sale incurred before or on that sale shall be disregarded for the purposes of sub-paragraph (2) of this paragraph.

5.—(1) For the purposes of paragraph 4 above, a sale in the open market between buyer and seller independent of each other presupposes—

- (a) that the goods are the sole consideration for the price paid, and
- (b) that the price is not influenced by any commercial, financial or other relationship, whether by contract or otherwise, between the seller or any person associated in business with him and the buyer or any person associated in business with him (other than the relationship created by the sale of the goods in question), and
- (c) that neither the seller nor any person associated in business with him has provided any part of the price, and that no part of the price will be returned to the buyer or any person associated in business with him.

(2) For the purposes of this paragraph, two persons shall be deemed to be associated in business with one another if, whether directly or indirectly, either of them has any interest in the business or property of the other, or both have a common interest in any business or property, or some third person has an interest in the business or property of both of them.

6.—(1) Where the relevant transaction is of the kind described in paragraph 3(1) of this Schedule the value of the goods shall be that ascertained under paragraph 4 of this Schedule or that ascertained under the following sub-paragraph, whichever is the less.

(2) The value of the goods under this sub-paragraph shall be taken to be the aggregate of the rental which could be obtained, at the time of the contract of hire, on a contract of hire for the period for which the goods are hired in the open market between owner and hirer independent of each other.

(3) Paragraph 4(2) and (3)(b) and paragraph 5 of this Schedule shall apply with any necessary modifications for the purposes of the last foregoing sub-paragraph.

Disputes

7.—(1) Any dispute as to the determination of any amount under this Schedule shall be referred to a referee (not being an official of any government department) appointed by the Lord Chancellor; and the procedure on any such reference shall be such as the referee may determine.

(2) The foregoing sub-paragraph shall not have effect and any amount falling to be determined under this Schedule in relation to the rebate payable to any person shall be that fixed by the Commissioners, unless, within three months from the time when the Commissioners' final determination of that amount is communicated to that person, or such longer time as they may allow, a notice requiring a reference under that sub-paragraph has been served on the Commissioners.

Interpretation

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8.—(1) In this Schedule—

“sale” includes barter and references to price shall be construed accordingly;

“rental” means the consideration accruing in respect of the hiring out of goods (whether or not payable periodically); and

“bank rate” means the minimum rate at which the Bank of England will lend to a discount house having access to the Discount Office of the Bank.

(2) Any reference in this Schedule to any price, rental or other sum shall, where that sum is expressed in a foreign currency, be treated as a reference to the equivalent of that sum calculated as the Commissioners may direct.

SCHEDULE 4

Section 10.

REPEALS

Session and Chapter	Short Title	Extent of repeal
18 & 19 Geo. 5. c. 17.	The Finance Act 1928.	Section 2.
1 & 2 Geo. 6. c. 46.	The Finance Act 1938.	Section 3.
14 Geo. 6. c. 15	The Finance Act 1950.	Section 55(2). Section 3 (1st January 1965). Section 50(2).
14 & 15 Geo. 6. c. 43.	The Finance Act 1951.	Section 1.
15 & 16 Geo. 6 & 1 Eliz. 2. c. 44.	The Customs and Excise Act 1952.	In Schedule 11 paragraph 23.
5 & 6 Eliz. 2. c. 2.	The Hydrocarbon Oil Duties (Temporary Increase) Act 1956.	The whole Act.
7 & 8 Eliz. 2. c. 58.	The Finance Act 1959.	Section 19(2) (end of year 1964-65).
10 & 11 Eliz. 2. c. 44.	The Finance Act 1962.	In section 1 subsection (2)(c) and subsection (4)(c) (1st January 1965).
1964 c. 49 ...	The Finance Act 1964.	Section 5(1).